

Twenty *to* One

MARKETS

The markets, minus the noise. Every number checked.

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NUMBER OF THE DAY

Jobs the US added in September, against roughly 84,000 expected. July and August were revised down by a combined 60,000, and wage growth slowed to 3%, the weakest in five years.

Source: US Labor Department, September jobs report

- 1 The bond market just had its roughest quarter in decades. Three theories on why.
- 2 A weak jobs report all but took an October rate hike off the table. Almost.
- 3 Anthropic's IPO, in four numbers.

FRIDAY'S CLOSE

FRIDAY, OCT. 2 · 4:00 PM ET (BITCOIN 4:30 PM)

S&P 500	7,722.94	▲ +0.74%
Nasdaq	27,190.86	▲ +1.19%
Dow	51,177.44	▲ +0.49%
10-year Treasury	5.277%	▲ +4.0 bp
Bitcoin	\$84,327.58	▼ -0.33%

MOVERS

Synaptics	+14.08%	Cut the price of its onsemi merger to \$5.7 billion in cash; onsemi rose 6.01%.
HPE	+7.39%	Strong long-term targets on AI demand.
SpaceX	+7.35%	Three successful launches, including astronauts and a US intelligence payload.
Tesla	+4.65%	Third-quarter deliveries beat expectations.
Nvidia	+1.34%	A fresh all-time high and a \$5.7 trillion market value.
Nike	-3.64%	Falling revenue, weak guidance and more layoffs.
Rivian	-3.12%	Deliveries jumped 46%, but it held rather than raised its outlook.
Seagate	-10.21%	Reports that Toshiba plans to double capacity; Western Digital fell 10.22%.

Stocks rose on the soft jobs report, and the Nasdaq touched a record intraday before easing. Oil was mixed after the G7's release plan: Brent rose while US crude fell.

THE BIG ONE

3-MIN READ

The 10-year Treasury now runs the market. Here's why it won't sit still.

SO WHAT **Mortgages, stock valuations and the cost of funding the AI build-out all price off the 10-year. When it moves this fast, everything else reprices with it.**

On Thursday the 10-year yield touched 5.34%, its highest since 2002, before buyers stepped in and it closed near 5.23%. It rose almost 90 basis points in the third quarter, its biggest quarterly jump in more than 25 years. The 30-year mortgage rate followed, to 7.28% from 7.03% a week earlier, per Freddie Mac.

Friday's weak jobs report briefly lifted bonds, but yields drifted higher again and the 10-year ended the week at 5.277%. Everyone agrees on the move. Not on the cause.

THEORY 1

It's plumbing

When rates rise fast, holders of mortgage bonds must re-hedge, often by selling Treasuries. One strategist calls this the main technical driver.

Hedge funds may also be unwinding the basis trade, though the evidence isn't clear yet.

THEORY 2

It's Japan

The Bank of Japan raised rates to 1.25%, a 31-year high, and Japan's 10-year yield hit 3.1%. Japan holds about \$1.1 trillion of Treasuries, 12% of foreign-held US debt.

Ed Yardeni's read: the yen carry trade is unwinding.

THEORY 3

It's everyone borrowing

As more AI spending is financed with debt, it competes with the government for borrowers, says Goldman's George Cole.

The war in Iran, rising deficits and strong US growth are all pushing rates up.

Not everyone sees a crisis: decades-high yields drew buyers back on Thursday, and money managers are pitching the classic 60/40 portfolio again. Europe isn't helping. France's latest budget failed to calm markets, and its bond spread over Germany is the widest since the euro crisis.

THE SPLIT

2-MIN READ

Is the October rate hike dead? REPORTS DIFFER

SO WHAT **A week ago markets were pricing in another hike. Now they expect a pause, and Wednesday's Fed minutes are the next test.**

September payrolls rose by just 29,000. Unemployment ticked up to 4.2% from 4.1%, and earlier months were revised down by 60,000. Government, temp help and information services shed jobs, while healthcare and construction added them. Futures now put the odds of a hold at the next meeting at 77.3%, after pricing about 70% odds of a hike a week earlier.

SIDE A

Off the table

Jefferies' Thomas Simons called the report the final blow for an October hike.

Vice Chairs Philip Jefferson and Michelle Bowman signalled the Fed has room to wait; Jefferson said it may need more time.

Wednesday's PCE inflation reading came in cooler than expected, at 3.4%.

SIDE B

Not so fast

The Fed's Goolsbee says both a hike and a pause remain on the table for October.

Last month's Fed projections still showed at least one more hike as likely this year, and futures give December a 66.7% chance.

Forecasts for the report varied, from about 84,000 to 90,000 jobs.

DEAL WATCH

2-MIN READ

Anthropic's IPO, in four numbers REPORTED

SO WHAT **Public investors would finally get to own one of the AI labs that has been moving their stocks, at a price set while it still loses billions.**

Bloomberg reports the Claude maker is aiming to go public before Thanksgiving, possibly as soon as the week of Nov. 9. The figures below come from reporting on its prospectus, not from Anthropic.

THE FOUR NUMBERS

\$4.6B	2025 revenue, about 12 times the year before.
\$42B	2025 net loss, with an \$8 billion operating loss. Compute alone was \$7.33 billion, over half of operating costs.
\$518B	Planned spending on cloud. Separately, Broadcom is financing up to \$42 billion of custom chip leases.
\$1.8-2T	The reported valuation range; some reports round it to \$2 trillion.

EVERYTHING ELSE THAT MATTERED

Paramount and Warner Bros. Discovery close on Tuesday

REPORTS DIFFER

The combined company will be renamed Skydance. Reports put the deal at \$81 billion or \$110 billion. Paramount shares fell 9.6% Thursday as investors focused on the debt behind it.

1 min

The G7 opens the oil taps

The G7 and partners will release up to 100 million barrels of emergency oil and diesel. Brent slipped below \$100 on Friday morning, as 10,000 more sailors and Marines and another carrier headed to the Persian Gulf.

1 min

Washington eyes diesel exports

With diesel at record prices, Energy Secretary Chris Wright has reportedly sounded out refiners on voluntarily limiting exports. The Wall Street Journal's editorial board pushes back: the shortage is a global refining crisis, not a result of the US exporting too much.

1 min

The index looks fine. The average stock doesn't.

Going into Friday, the equal-weight S&P 500 was on track for a seventh straight losing week, a streak seen only twice before (both runs ended in July 2002 and May 2022). Meanwhile the regular S&P was down just 1.5% over the stretch and within 2% of its record.

1 min

AI as tailwind, AI as headwind

Accenture jumped about 16% Thursday after beating forecasts, as nearly 100 more clients started their first advanced AI projects. Nike went the other way: it guided to a high single-digit sales decline this year, against the Street's expected 2.4% dip.

1 min

America's quiet copper hoard

The US has pulled as much as 2 million tons of copper onshore, per BMO, without announcing a single tariff on the refined metal. Deutsche Bank expects the US and China to hold about 70% of global inventories by year-end.

1 min

THE BIG PICTURE

AI's \$6 trillion funding gap

Estimates for AI infrastructure spending through 2030 run from \$7.6 to \$8 trillion. KKR sees about \$1.7 trillion of financing available, leaving a \$6.3 trillion gap. Goldman expects the five largest hyperscalers alone to spend more than \$800 billion this year and \$1.2 trillion next.

The gap is being filled with debt and creative structures: Amazon is reportedly weighing putting about \$8 billion of Nvidia chips into a special-purpose vehicle, and AI-related bonds already pay more than the broader investment-grade market. That is the thread connecting this week's bond selloff to the AI trade.

Estimates: KKR, Goldman Sachs

TERM OF THE DAY

Mortgage convexity

When rates rise fast, investors holding mortgage bonds have to change how they hedge, often by selling Treasuries. That selling pushes yields higher still, which can force more selling: a self-reinforcing loop that helps explain why fast rate moves tend to get faster.

RETAIL FLOW

Small investors went long on bonds: retail traders piled into long-dated Treasury ETFs in September, and the iShares 20+ Year Treasury fund saw its biggest inflows ever, per JPMorgan. In stocks, Robinhood traders sold into Thursday's photonics rally, with Coherent and Fabrinet dumped on heavy volume. At Robinhood, traders have started pairing tokenized stocks with memecoins.

THE WEEK AHEAD

MON · OCT 5	Services PMI. Japan's Prime Minister Sanae Takaichi addresses parliament, with bond markets watching her fiscal plans.
TUE · OCT 6	Paramount-WBD deal closes. Earnings: Constellation Brands (after the close), Lamb Weston. Fed's Williams and Logan speak.
WED · OCT 7	Fed minutes, 2 PM ET. The September meeting, when the Fed last hiked. Earnings: Applied Digital, Levi Strauss.
THU · OCT 8	Jobless claims and wholesale trade. Earnings: PepsiCo (before the open). St. Louis Fed's Musalem speaks at 1:40 PM ET.
FRI · OCT 9	Consumer sentiment (University of Michigan). Earnings: Delta, before the open.

COMING UP

Bank earnings, September CPI and retail sales by mid-month. Fed decision at the end of October; Anthropic's IPO as soon as the week of Nov. 9 (reported).

THREE THINGS TO BRING UP AT DINNER

- A former HSBC executive was banned for life after dodging nearly £6,000 in train fares by "doughnutting" his tickets.
- China's share of the world caviar market went from about 14% in 2012 to 43% in 2024. In the 1800s, bars handed caviar out free.
- Half of Gen Z now starts their coffee habit with cold drinks, according to Nestlé.
- Asking shoppers for a charity donation at checkout makes them more likely to avoid coming back.

How was today's issue?

Loved itIt was fineNot for me

HOW WE WORK

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